

Income Approaches to Appraising Property

Say you're helping a client invest in commercial property. Your client says, "I'm looking for a cap rate of at least 10%, so find me a property that's valued in that range." Yikes.

The income capitalization approach to appraising real estate is going to help you and your client determine if a property might meet the desired rate of return.

Using the Income Approach

The **income approach** (also known as the **income capitalization approach**) estimates the present value of any future rights or benefits of owning a particular property. It's based on the value principle of anticipation. There are a few different techniques that fall under the umbrella of income approach, but they're all similar in that they use data about the income from the property and then apply some form of adjustment to translate future cash flows to a current property value.

We'll present them from simplest to the most complex.

Gross Rent Multiplier

The gross rent multiplier (GRM) method relates the sales price to the property's expected rental income, and is used for one- to four-unit residential income-producing properties.

To use this formula, you begin by obtaining the sales price and gross income (rent) data on recently sold comparable properties. To determine the gross rent multiplier (GRM), you'll divide the sale price of a comparable property by that property's monthly gross rent. That number (the GRM) is then multiplied by the subject property's anticipated monthly gross rent to arrive at a property value. GRM doesn't take into account any operating costs; it's a rough estimate of how income relates to value and is best used for one- to four-family units where the primary use is as a rental property. Because it's a rough estimate, it's used in conjunction with comparable sales in the area to arrive at a property value.

Let's say a nearby comparable property has a monthly gross rent of \$10,000 for its four large units, and it was sold recently for \$1.5 million.

Since **GRM = price ÷ monthly gross rent**, that would mean $GRM = 1,500,000 \div 10,000$. GRM for this comp property is 150.

Now, if your subject property, the one your client is thinking of buying, has three units and an anticipated monthly gross rent of \$8,000, you can multiply that by the comparable GRM to approximate the subject property's value. That formula is **value = rental income × GRM**. To determine your subject property's approximate value, you'd multiply $\$8,000 \times 150 = \1.2 million. So, the subject property's approximate value is \$1.2 million.

This could also be calculated using yearly rental income numbers. Just be sure to be consistent in your calculations-use either the monthly or the yearly amounts in both of these calculations to determine your subject property's estimated value.

Gross Income Multiplier

Gross income multiplier (GIM) is essentially the same as GRM, but it uses all sources of income from the property rather than only rent. The multiplier is found from a comparable property by dividing the sales price by the property's annual gross income from all sources. You can then apply the multiplier to the subject property's income to determine value. Larger properties generally have multiple income sources-such as laundry, vending machines, or parking meters-rather than smaller income properties, where rent is often the only source of income. Therefore, GIM is more suitable for five-unit or larger income properties.

Direct Capitalization

The direct capitalization method calculates a net operating income (NOI) for a property over the next year, then applies a capitalization rate (also called a cap rate) to that income to derive a market value for the property. The capitalization rate is the expected rate of return on investment, and measures the risk of an investment. The higher the cap rate, the higher the risk. The cap rate and market value are inversely related, which means that when one goes up, the other goes down, and vice versa. (We picture the cap rate and market value like kids on a seesaw.) The cap rate expresses the income a real estate investment produces as a percentage of its price, and is found by analyzing the sales price and income of comparable properties. The formula to calculate cap rate is **R = I ÷ V**, where R is the cap rate, V is the property value (the sales price of a comparable), and I is the net operating income.

In order to calculate net operating income, remember that a net number is always smaller than a gross number. You begin with the potential gross income (what the income would be if the property were fully rented), then subtract probable loss due to projected vacancy (to get to the effective gross income), and then subtract operating expenses. (Note: The mortgage payments of principal and interest are NOT considered operating expenses.) So the formula is **NOI = gross income - losses - expenses**.

Let's say you're looking for the cap rate on a property that has stated that its gross income for the last year was \$90,000, its operating costs (including the year's vacancies) were \$15,000, and its listing price is \$1 million.

To calculate the NOI, you'd take the gross income of \$90,000, and subtract the operating costs of \$15,000. $\$90,000 - \$15,000 = \$75,000$.

Since $R = I \div V$, and the stated value of the property (the listing price) is \$1 million, your equation is $R = \$75,000 \div \$1,000,000$. $R = 0.075$, or 7.5%.

Direct capitalization is used for most income-producing properties. It's generally appropriate for small- to medium-sized properties-not including one- to four-unit residential properties-and those with stable forecast net income.

Keep in mind that this formula can be juggled to find any one of the variables as long as you have two of the three available. In other words, you can find value by using $V = I \div R$. Or you can find the net operating income (I), by using $R \times V = I$.

Yield Capitalization

This method is similar to direct capitalization, but projects farther into the future than one year. It also considers the potential value of the property upon resale. An expected rate of return is applied to income from the entire holding period to find the current property value. Think of it as the total return of the investment expressed in an annual rate. Yield capitalization is most often used for larger properties where the investor wants a value based on long-term holdings, along with the effect of debt repayment and potential resale of the property on the ultimate return on investment.